

Commentary on Chapter 13

In the Air Force we have a rule: check six. A guy is flying along, looking in all directions, and feeling very safe. Another guy flies up behind him (at “6 o’clock”—“12 o’clock” is directly in front) and shoots. Most airplanes are shot down that way. Thinking that you’re safe is very dangerous! Somewhere, there’s a weakness you’ve got to find. You must always check six o’clock.

—U.S. Air Force Gen. Donald Kutyna

E-Business

As Graham did, let’s compare and contrast four stocks, using their reported numbers as of December 31, 1999—a time that will enable us to view some of the most drastic extremes of valuation ever recorded in the stock market.

Emerson Electric Co. (ticker symbol: EMR) was founded in 1890 and is the only surviving member of Graham’s original quartet; it makes a wide array of products, including power tools, air-conditioning equipment, and electrical motors.

EMC Corp. (ticker symbol: EMC) dates back to 1979 and enables companies to automate the storage of electronic information over computer